

MMPM-006

MARKETING RESEARCH

MARKETING RESEARCH

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COURSE INTRODUCTION

Sear Learners

You may agree that it is essential to understand what consumers want, how they select options, and what sources of information and influence they rely on for making purchase decisions. Technological innovations such as the internet, online marketing, social media, and the rising popularity of mobile devices and apps have given consumers the power to generate their own information. These occurrences have impacted the market in numerous ways. The complexities of the market have multiplied, and market decisions are becoming more and more challenging as a result of the market's growing complexity. The pace of change today is so rapid that old information is not as helpful in making decisions. This is where marketing research comes into play. It provides information to help in improved decision-making. Marketing research is the function that provides the marketer with the necessary information about the consumer, competitor, and other stakeholders. In the process, an organisation can discover new market prospects, assess and track marketing initiatives, and generally improve its marketing strategy to better suit the needs of the customer. Thus, marketing research acts as the link between the consumer and the marketer.

The following **learning outcomes** are expected to be accomplished by the course, which consists of four blocks spread over 15 units. After studying this course, you should be able to:

- Appreciate the need for marketing research.
- Explain the marketing research process.
- Describe the various types of research designs and their applications for different research situations.
- Explain the basic methods of data collection.
- Apply the appropriate bivariate and multivariate analysis in marketing research studies.
- Explain the applications of social media and internet-based marketing research.

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BLOCK 1
CONCEPTS AND APPLICATIONS

BLOCK 1: CONCEPTS AND APPLICATIONS

The first block on Concepts and Applications consists of three units.

Unit 1, “Marketing Research: An Introduction,” discusses the meaning and importance of marketing research in decision-making. It also discusses the process of marketing research, the users’ perspective, and the scope of marketing research as a link between the organization and its marketplace for a variety of decisions.

Unit 2, “Applications of Marketing Research and Ethical Issues,” explains the ways of conducting marketing research, the common applications, the role of new technology, and the adoption of marketing research by Indian businesses. The unit has also examined the ethical issues and problems that the researchers face while doing marketing research.

Unit 3, “Identifying and Defining Research Problems,” discusses the decision area, the research problem, and converting a decision area to research objectives with the help of illustrative case examples. Three methods of converting a decision problem into a research problem area—the interaction method, the decision tree approach, and the conceptualization method—were also explained with relevant case examples.

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UNIT 1 MARKETING RESEARCH: AN INTRODUCTION

Learning Outcomes

After going through this unit, you should be able to:

- appreciate the need for marketing research.
- describe the meaning and importance of marketing research.
- explain the marketing research process.
- outline the scope of the marketing research function.
- assess the limitations of marketing research.

Structure

- 1.1 Introduction
- 1.2 Need for Marketing Research
- 1.3 Marketing Research - Meaning and Importance
- 1.4 Marketing Research Process
- 1.5 Scope of the Marketing Research Function
- 1.6 Limitations of Marketing Research
- 1.7 User's Perspective
- 1.8 Summary
- 1.9 Key Words
- 1.10 Self-Assessment Questions
- 1.11 Project Questions
- 1.12 Further Readings

During your last vacation, you got an opportunity to visit a farmhouse owned by your local fruit and vegetable seller. The retailer has recently ventured into organic farming. Earlier, he used to procure vegetables and fruits from local farmers and sell them from his retail outlet. After two years of organic farming, he realised that he was not benefiting from his organic farming venture. He faced low demand for his products as these products are relatively highly priced. He learned about your enrolment in a marketing management programme at a reputable business school through his long relationship with your family as a supplier of fruits and vegetables. He was curious as to how your knowledge of marketing management could be able to help him find a solution. As a student of marketing management, you must be aware that the main goal of marketing management is to fulfil customer needs and wants. So, you may be faced with the question of who buys organic fruits and vegetables. Why do they prefer organic goods? and so on. You must learn marketing research in order to find the answers to these questions and identify problems and possible solutions.

1.1 INTRODUCTION

As you have already learned in your marketing management course, the primary objective of marketing management is to serve the wants and desires of consumers. Therefore, it is essential to understand what consumers want, how they select options, or, among other things, what sources of information and influence they rely on. Technological innovations such as the internet, online marketing, social media, and the rising popularity of mobile devices and apps (applications) have given consumers the power to generate their own information. These occurrences have impacted the market in numerous ways. The complexities of the market have multiplied, and market decisions are becoming more and more challenging as a result of the market's growing complexity. The pace of change today is so rapid that old information is not as helpful in making decisions. This is where marketing research comes into play. It provides information to help in improved decision-making. Therefore, marketing research is the function that provides the marketer with the necessary information about the consumer, competitor, and other stakeholders. In the process, an organisation can discover new market prospects, assess and track marketing initiatives, and generally improve its marketing strategy to better suit the needs of the customer. Thus, marketing research acts as the link between the consumer and the marketer. In this unit, you will learn the meaning, process, scope, and limitations of marketing research.

1.2 NEED FOR MARKETING RESEARCH

For marketing managers to plan and implement marketing strategies, information is crucial. Pingali (2010) has summarized the marketing planning as 4Cs: (a) satisfying the needs of the customer, (b) better than the competition, (c) doing so at the lowest cost, and (d) in the given context. Information is essential for making appropriate decisions. Information is gathered by managers from a variety of internal sources. Several companies use sophisticated marketing information systems (MIS) to help in decision-making.

While MIS aids in routine decision-making, businesses must also make decisions that go beyond the information provided by the MIS, such as those related to the launch of a new product, analyzing why a brand has not been performing as anticipated, and understanding about consumer perceptions of a brand. These decisions necessitate a reconsideration of the 4Cs (consumers, competition, cost, and context), as the 4Cs may differ from how the MIS is already constructed. Even if the marketing team can still offer helpful information, businesses occasionally need to look beyond the information that is already available to them. Piercy (1980) differentiates by stating that Marketing Information Systems uses existing sales data and published information and Marketing Research generates new information.

In other words, marketing research is typically engaged only when there is a question that needs to be answered, or when there is a gap in the information. In contrast, management information systems (MIS) is a continuous process. Marketing research is typically undertaken as a brief

project with a well-defined time schedule, budget, and output that should help marketing decision-making. To provide an example, imagine that a producer of branded cookies is considering a series of important decisions. The company's market share in a certain area is decreasing, and a competitor is steadily gaining ground. To learn why its customers are switching brands, it may start a marketing research initiative.

Green et al. (1993), state that information from marketing research “will reduce the level of uncertainty in making a decision”. Marketing research, therefore, would be required when the decision makers face uncertainty and risk in the decision situation encountered. Risk perception is however a characteristic of the decision maker/ decision making unit. So, while for some the decision may be perceived as risky, it may not be perceived as risky by some others. So, a decision problem may be perceived as risky by one decision maker necessitating marketing research, whereas, not so risky for another decision maker and not requiring any research (Figure 1.1).



Figure 1.1: Need for Marketing Research

The need for marketing research is therefore specific to the decision maker and not the problem. If the risk associated with the decision is perceived to be high, then the manager would be interested in unbiased information to help him/ her take an informed choice.

Some of the conditions for conducting marketing research include:

- By conducting research, one can fill in the information gap.
- The price of conducting marketing research to narrow the gap is less expensive than the price of making an incorrect choice.
- Decision-making is not unduly hampered by the time required for research.

Activity 1

Identify the possible decisions a company would be required to take. Segregate them (with reasons) into decisions which could be done using MIS and decisions that would require Marketing Research.

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1.3 MARKETING RESEARCH - MEANING AND IMPORTANCE

Operationally speaking, marketing research is defined as the objective and formal process of collecting information; analysing the results and

communicating the findings and their implications in terms of marketing actions. However, some further comments about this definition are essential. Marketing research is a systematic collection and analysis of information that is ultimately used in evolving some marketing decisions. All stages of a research study must be carried out in a logical manner. For instance, one should, start with a concise statement of the issues to be investigated; indicate the information required to study those select problems; define the methods to be adopted to collect those data; specify the relevant technique to be employed for analysing the data; and finally state the research findings and their specific implications for marketing decisions making.

Note that this definition indicates that marketing research should be conducted for specific issues. Secondly, it must ensure objectivity in every step. Finally, study findings must help the manager in the decision making.

The American Marketing Association defines marketing research as “the function that links the consumer, customer, and public to the marketer through information—information used to identify and define opportunities and problems; generate, refine, and evaluate actions; monitor performance; and improve understanding of it as a process. It specifies the information required to address these issues, designs the method for collecting information, manages and implements the data collection process, analyzes the results, and communicates the findings and their implications”. (AMA, 2017) <https://www.ama.org/the-definition-of-marketing-what-is-marketing/>

To make the definition easier to understand, you can discuss a few of its components separately as:

1. ‘Identify and define marketing opportunities and problems’ implies to conduct research to explore the external environment.
2. ‘Generate, refine and evaluate marketing actions’ referred using research to ascertain whether the organisation is meeting customer needs
3. ‘Monitor marketing performance’ means conducting research to determine whether the organisation is succeeding in its objectives.
4. ‘Understanding marketing as a process’ entails utilising research to learn to market more effectively.

Problem must be clearly defined and reasons for undertaking the research from the point of view of marketing decision making should be explicitly justified. So, marketing research can be broadly classified as problem-identification research and problem-solving research. The purpose of problem-identification research is to find problems that may not be immediately obvious but are still present or are likely to occur in the future. For example, to know the market potential of any product or service, sales forecasting, market share analysis, and so on. Problem-solving research is done to find a solution. Findings from this research are then used in making decisions related to specific marketing problems. For example, decisions about segmentation, targeting, positioning, and other marketing mix strategies such as product, price, promotion, and place. However, it should be noted that problem-identification and problem-solving research

complement one another, and a particular marketing research study may include the two forms of research. For example, a market survey was conducted in order to assess the market potential for hair shampoo in the rural market. Research on rural consumers' product and price preferences resulted in introduction of shampoo in smaller sachets at lower prices for the rural market.

The role of marketing research is to establish an information channel between the consumer and the company. It entails the methodical and unbiased gathering and evaluation of data that may be applied to the development of some marketing decisions. However, in this process it must be noted that a marketing research study will fail to serve its purpose if the researcher simply compiles some statistical facts, is preoccupied with techniques, uses data of questionable validity, or communicates the findings in too much vague or technical language. A research study will also suffer if the marketing manager does not fully explain the research problem, does not give enough time, uses research as a firefighting tool, or does not truly appreciate the value of research. In other words, one must defend the methodology used for data gathering and analysis in marketing research; it cannot simply be a collection of statistical data. Additionally, even when using an advanced or complex instrument, the researcher must avoid becoming overly preoccupied with methodologies and instead communicate the meaning of the results in marketing language. Similarly, the marketing manager(s) should present a clear, comprehensive scenario of the issues the business is facing before the marketing researchers. They must provide enough time and money to carry out the study. They must refrain from using marketing research as a firefighting tool or to support a predefined course of action (s).

In order to carry out effective research programme

1. Prepare a list of objectives to be examined
2. Avoid
 - Vague terms of reference
 - Trivial research projects
 - Research where underlying purpose is unknown or withheld.
3. Ensure concurrence about the terms of references (specially research objectives; plan of data collection, time and budget) among all concerned.

Activity 2

Talk to the marketing manager of your organisation or any other organisation that you are familiar with, about the following:

Product decisions

Promotion decisions

Distribution decisions

How many of these decisions utilise formal marketing research? What additional research activity, in your view should have preceded them?

1.4 MARKETING RESEARCH PROCESS

Marketing research exercise may take many forms but systematic inquiry is feature common to all such forms. Being a systematic inquiry, it requires careful planning of the orderly investigation process. Though it is an over simplification to assume that all research processes would necessarily follow a given sequence marketing research often follows a generalised pattern which can be broken down and studied as sequential stages. Figure 1.2 gives the stages in the marketing research process.

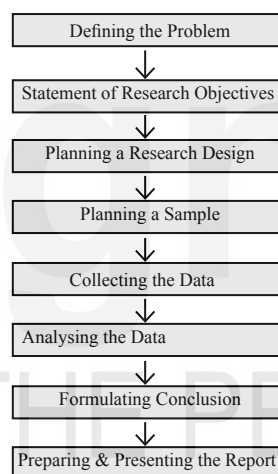


Figure 1.2: Stages in the Marketing Research Process

Defining the Problem

As shown in Figure 1.2, the research process begins with the defining of problem. The research task may clarify a problem or define an opportunity. For example, in the case of a fruit and vegetable retailer, he could want to know why the sales are not meeting expectations for organic fruits and vegetables. The reasons could be lack of awareness towards the benefits of organic fruits and vegetables, pricing and positioning of products, and so on that need to be further explored. Another scenario may be one in which a marketing manager has to choose whether to keep running a campaign, stop it altogether, or make changes based on how it is affecting product sales. Even if the campaign is a success, sales may not have increased as expected since other marketing considerations like price, distribution, or fierce competitor promotions may have been in play. The marketing manager needs more information to define the problem.

At the beginning of the research process, it might not be feasible to state the problem clearly because, at that point often only the symptoms of the problem are visible. In order to define the problem situation, some exploratory research may be done prior to formulating a more detailed

problem statement. Since marketing research is an expensive process in terms of both time and money, a clear problem definition is essential. By paying close attention to how the problem is defined, the researcher can establish appropriate study objectives, which in turn make it easier to collect useful and affordable data. Surveys of secondary data, experience surveys, or pilot studies are the methods that are most commonly used.

Statement of Research Objectives

After clarifying and identifying the research problem with or without exploratory research, the researcher must make a formal statement of research objectives. Research objectives may be stated in qualitative or quantitative terms and expressed as research question statements or hypotheses. For example, the research objective “To find out the extent to which the sales promotion programmes affected sales” is a research objective expressed as a statement. A hypothesis, on the other hand, is a statement that can be refuted or supported by empirical findings. The same research objective could be stated as: “To test the hypothesis that sales are positively affected by the sales promotion programme undertaken this summer.” Another hypothesis may be that concentrating advertising efforts in monthly waves (rather than advertising continuously) would cause an increase in sales and profits. Once the objectives or the hypothesis are developed, the researcher is ready to choose the research design.

Planning the Research Design

A research design is a blueprint outlining how the required data will be gathered and analysed. It represents a framework for the research plan of action. The objectives of the study discussed in the preceding step are included in the research design to ensure that the data collected is relevant to the objectives. The researcher must, at this stage, also determine the type of sources of information needed and the data collection methods (surveys or interviews for example), the sampling methodology and the timing and possible costs of research. The design chosen may be from exploratory, descriptive, quasi-experimental or experimental design categories which again include a number of alternative methods. You will study more about specific types of research designs and their appropriateness for particular kinds of research problem in unit 4 entitled ‘research design formulation.’

Planning the Sample

Although the sample plan is included in the research design, the actual sampling is a separate and important stage in the research process. Sampling involves procedures that use a small number of items or parts of the population to make conclusion regarding the whole population. The first sampling question that needs to be asked is who is to be sampled, which follow from what is the target population. Defining the population may not be as simple as it seems. For example, if you are interested in finding the association between savings and loans, you may survey the people who already have accounts and the selected sample will not represent potential customers.

The next important issue is regarding sample size. How large or how small

should a sample be? Generally speaking, larger samples give more reliable information than smaller ones but if probability sampling is used, a small proportion of the population may give a reliable measure of the universe. The researcher is also required to know how to select the various unit to make up the sample. There are two basic classes of sampling methods-probabilistic, and non-probabilistic. Unit 7 Sampling and Sampling Design of the course MMPC015 (<https://egyankosh.ac.in/handle/123456789/90734>) gives a detailed account of determination of sample size as well as different sampling methods used.

Data Collection

The data collection process follows the formulation of research design including the sampling plan. Data which can be secondary or primary, can be collected using variety of tools. These tools are classified into two broad categories, the observation methods and the communication methods, all of which have their inherent advantages and disadvantages. All these methods and their appropriateness for different situations have been discussed in detail in unit 5 of the course.

Data Processing and Analysis

Once the data has been collected it has to be converted to a format that will suggest answers to the problem identified in the first step, Data processing begins with the editing, coding, transcription, and verification of data. Editing involved inspecting the data collection forms for omission, legibility and consistency in classification and, if necessary, corrected.

Prior to tabulation, responses need to be categorised into meaningful categories. Codes are the procedures for classifying, recording, and transferring data to data storage media. Each response to each question in the questionnaire is represented by a code, which can be either a number or a letter. The coding process facilitates the manual or computer tabulation. If computer analysis is being used, the data can either be directly entered into the computer or transformed to text.

The information related to the aspects of the marketing research problem is derived from the data through analysis, and this information is then used to provide input into the management decision problem. Analysis is the process of using logic to make sense of the data collected about a subject. In its simplest forms, analysis may involve finding recurrent patterns and summarising pertinent information. The appropriate analytical techniques that should be used will depend on the informational needs of the problem, the characteristics of the research designs, and the nature of data collected. The statistical analysis may range from simple univariate analysis to very complex multivariate analysis. Block 3 of this course will cover univariate, bivariate, and multivariate analysis as well as their applicability to marketing problems.

Formulating Conclusion, Preparing and Presenting the Report

Interpreting the information and making inferences that can be applied

to managerial decisions is the final step in the research process. In order for management to effectively use the findings in decision-making, the findings should be presented in a simple and easily understandable manner. The research report should clearly explain the research findings and need not contain complex explanations of the technical details of the study and research methodologies.

Management is more concerned with the actual results of the research than with the specifics of the research methodology and statistical analysis. Therefore, researchers must ensure that the presentation is technically correct, understandable, and beneficial. Before taking action on the findings, executives must be convinced of their significance.

Researchers frequently need to provide both an oral and a written presentation. Since every project is unique, every presentation needs to be unique. A good presentation will, however, be more likely to occur if the prior research process steps were carried out well. While the effectiveness of the oral presentation highly depends on the presenter's personality and the management's expectations, the written report must have the following details in order to be successful:

1. Title page
2. Table of contents
3. Introduction
4. Statement of objectives
5. Methodology
 - a. Research design
 - b. Sampling
 - c. Data collection methods
 - d. Field work
 - e. Tools for Data Analysis
6. Analysis and interpretation
7. Findings
8. Limitations
9. Conclusion
10. Recommendations
11. Bibliography/List of references
12. Appendix
 - a. Copies of forms/ Questionnaire used
 - b. Tables not included in findings

Despite the fact that we have described the research process as a sequence of steps, it is important to keep in mind that these steps are interconnected and iterative. Thus, the researcher should consider the subsequent stages as

well as the prior steps at each step.

Activity 3

With respect to a marketing research project undertaken in your organisation or any other organisation outline the steps followed in the research.

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1.5 SCOPE OF THE MARKETING RESEARCH FUNCTION

This section will discuss the possible applications of marketing research in the corporate environment. The bulk of research is done to measure consumer wants and needs. Also, marketing research is carried out to assess the impact of past marketing actions. Some research is done to understand the competitive, technological, social, economic, cultural, political, or legal environments of the market.

Another way of looking at the function of marketing research is to look at the particular decision area where research results are used.

I) Sales Analysis

Much research is done in the following areas, which are broadly referred to as sales analysis.

- Measurement of market potential and demand projection,
- Determination of market characteristics
- Market share estimation
- Studies of business trends

In fact, some of the more detailed studies to be carried out under the broad ambit of sales analysis could be as follows:

- The types of consumers that constitute the potential market
- The size and location of the market
- The growth and concentration of the market over a certain period of time,
- The competitive picture for the product
- The major strategies of leading competitors with respect to price, offering, distribution, etc.
- The purchasing habits of key market segments
- What is the pattern of pre-purchase deliberations made by consumers?
- Who are involved in the decision-making?

- What are the roles of different members in the decision-making?
- How does the product fit into the consumer's lifestyle? (Operation if it is an industrial product)
- Do consumers prefer to buy some particular brands? (i.e., assess the degree of brand loyalty).

The above list is not exhaustive. Here, research is basically done with a view to know consumers' motivation, attitude, cognition, and perceptions etc. Thus, information will be collected in a manner so that it has some implications for various marketing decisions.

II) Sales Methods and Policies

With a view to evaluating the effectiveness of the present distribution system, marketing research studies are also conducted. Such studies are used in establishing or revising sales territories. They are also helpful in the establishment of sales quotas, the design of territory boundaries, compensation to the sales force, physical distribution and distribution cost analysis, etc. Marketing research is also done to assess the effectiveness of different promotional activities such as premiums, deals, coupons, sampling, etc.

III) Product Management

Every marketer tries to formally or informally utilize information to manage existing and new products. It examines market feedback about competitive product offerings. Also, some companies make use of marketing research to form market segments through the choice of alternative bases. Companies also carry out different research studies to assess consumer feedback on new products and their likely potential. Of late, in India, many consumer products have been launched after a rigorous amount of research. Moreover, research has enabled us to diagnose how consumers perceive various brands of a product. Such studies have enabled companies to position their brands.

Marketing research studies have been conducted to monitor the performance of the test brand (in terms of trial and repeat purchases) launched in select shops in the market. Such studies are popularly known as simulated test marketing (STM) models.

Pricing studies, packaging research, design or physical characteristics have also been conducted.

IV) Advertising Research

Media research: Media research is carried out in order to understand the overall state of the media market and to analyse the media's target audience. Examples of media target audience research include regional research, demographic group research, social group research, demand group research, and consumer group research. Respondents who have cable television (TV Audience Survey), internet users (Internet Audience Survey), radio listeners (Radio Audience Survey), and respondents to the National Readership Survey are additional

categories of consumer groups.

Additionally, several marketing research studies have evaluated the relative efficacy of various media in the context of attaining specific goals, such as raising brand awareness or emphasising a particular product benefit, for a variety of product categories.

Copy research: Advertising agencies have been regularly engaged in this activity where they test out alternative copy designs by obtaining the feedback from consumers.

Studies of advertisement effectiveness - Marketing research studies are frequently used by advertising companies to evaluate and monitor the success of various advertising campaigns.

V) Corporate Research

Large scale corporate image studies among different target publics - They involve an assessment of knowledge about company activities, association of company with sponsored activities and company perceptions on specific dimensions. These types of corporate image studies are done periodically to monitor any change in image over time among different publics.

Social values research: Knowledge, attitude and practices on family planning, anti-dowry, smoking, drinking etc.

Political studies: In recent times marketing studies have been conducted to ascertain the public opinion about the election results.

Customer service studies: Many banks and large industrial houses have resorted to marketing research to know the consumers' changing need for service and possible grievances about existing operations.

VI) Syndicated Research

A market research company can carry out and finance syndicated research on a subject that may be of interest to multiple businesses or organizations in a specific industry. The market research firm determines the methodology and scope of the research project based on their expertise and technique of choice. The project's outcomes are made available to anyone who wants to buy them, and they are frequently offered in the form of reports, presentations, or even unprocessed data. The motivations behind starting such a project can vary, but they typically revolve around attempting to gain more attention or enlisting the support of present or potential clients (when focusing on a particular industry).

Several research agencies collect and tabulate marketing information on a continuing basis. Weekly, monthly, or quarterly reports are given to clients that have paid subscriptions. These services are especially useful in the areas of consumer goods movement through retail outlets (Retail Audit), incidence of disease and use of branded drugs (Prescription Audit), television program viewing (the Television Rating Points), newspaper and magazine readership (NRS—discussed earlier under media research), assessment of market potential of a city with a population of one lakh and above, study of nation's attitudes

1.6 LIMITATIONS OF MARKETING RESEARCH

“Marketing research does not make decisions and it does not guarantee success” (FAO 1997).

Marketing managers may seek information from marketing research studies; however, it is marketing managers who should make the final marketing decision and not the researcher.

The second observation, that marketing research does not guarantee success, is simply a recognition of the environment within which marketing takes place. That is, marketing research can indicate the current market condition and not the future situation. For example, in 1982, Maggi Noodles were launched in India, targeting the working women. In the initial research, Nestle found out that people were not comfortable to substitute Maggi, as they preferred traditional foods. There is a huge resistance to change this behaviour. However, this information did not deter the manager. The manager used this knowledge to design a marketing strategy which was to identify occasions, where habits would be weak as this process of change might be relatively easy to initiate. Needless to mention that Nestle has made noodles a great success.

Marketing Research process consists of different steps and each step has a potential of bringing in an error in the information. The first step of converting the decision problem to a research problem determines the information that needs to be collected (research problem) to address the decision problem. If the information needs are not properly defined then it would not help address the decision problem. This is known as a “surrogate information” error (Wayne and Davies). Identifying the right respondents for the study could be another source of error. Error may also occur if respondents do not understand the instrument, so the design of the questionnaire is very critical. Again, using wrong techniques to interpret the data can also bring in error. Wayne and Davies also suggest that marketing research can produce erroneous results because of badly used techniques or misinterpretation of data. So, effort should be taken to minimize the error.

The results of research can be used to assist management decisions, but they cannot be used to offer solutions because those require managerial discretion. Marketing research is not the only information source available that helps in decision making for marketers. For example, a large number of small companies operate successfully without conducting marketing research. Marketing research works best when integrated with judgement, intuition, expertise, and enthusiasm. For instance, even if marketing research suggested that there was a market for a particular type of product, its success still relied on the development and execution of the right marketing strategies.

Marketing research takes a significant amount of time to conduct. The management is unable to conduct research when an immediate decision must be made. Due to the high cost of conducting market research, many businesses avoid it. Therefore, one of the key factors for doing marketing

research is balancing time and cost, and marketers evaluate the trade-off between the advantages of marketing research and time and cost. The other problem with marketing research field studies is the loss of confidentiality. A competitor might release the idea without conducting market research if they see it being researched and are more willing to take risks. In this case, the decision-maker who opted for marketing research might forego the time benefit.

1.7 USER'S PERSPECTIVE

A decision maker should consider the following to improve the usefulness of Marketing Research.

Need of the research has to be established: Marketing research should be taken up only when the risk associated with the decision is high. It should be noted that marketing research should not be used to justify a decision made.

Estimate (near accurate information) versus Guesstimate: A manager faced with a decision situation may also face a time constraint. He/she may have to decide between estimates based on marketing research or a guesstimate. Since the need for marketing research is based on the risk perception of the decision maker, if the company supports the manager in taking quick decisions to be competitive, then the manager may be encouraged to use guesstimates based on experience and intuition.

Piercy (1980) states that “crude, imprecise data may be good enough for commercial decision-making, and that in practise most managers would rather have information that is 75% right and is available when needed, than information that is 95% right and is available too late or at a high cost.”

Decision maker should not do the research: The roles of the decision maker and the researcher should be clearly demarcated once the problem definition is done. The researcher should take over after identifying the problem and conducting the research. If the decision maker is involved in conducting the research, then there is a possibility of justifying what “s/he thinks s/he knows. Ritchie and Brindley (2001) suggest that the decision maker selectively chooses information that supports their initial perceptions and overlooks any data that might challenge such perceptions and choices.

Decision maker should however be critical of the process: The marketing research process includes a series of steps to identify, collect, and analyze information to address the decision process. As there is a possibility of error creeping in at different stages of the decision process. The decision maker should be critical and ensure that the research is conducted properly to ensure that the validity of the study is high. This is different from the earlier comment that the decision maker should not do the research. Here, “being critical” means emphasizing that the decision maker should question the process to ensure the validity of the information being collected. Piercy (1978) has emphasized this point by stating “that research could incorporate the subjectivity of the researcher in how the work is approached and structured. Such subjectivity should be questioned by the user of the research.”

1.8 SUMMARY

Marketing research establishes a connection between the organization and its marketplace. It involves the specification, gathering, analysis, and interpretation of information to help management understand that particular market environment, identify its problems and opportunities, and develop and evaluate courses of marketing action. In this unit, we have discussed the needs, meaning, and importance of marketing research. The steps in the process of conducting marketing research were described. The scope of marketing research includes various decisions that need to be supported by marketing research information. Additionally, users' perspectives and the limitations of marketing research must be understood by marketing researchers.

1.9 KEY WORDS

Marketing Research: is defined as the objective and formal process of collecting information, analysing the results, and communicating the findings and their implications in terms of marketing actions.

Marketing Research Process: a set of steps defining the tasks to be accomplished in conducting a marketing research study. These include problem definition, development of research objectives, formulation of the research design, planning of samples, data collection, data preparation and analysis, formulating conclusions, and report preparation and presentation.

Marketing Information System (MIS): is a system for gathering, storing, analyzing, and distributing valuable marketing data on a routine basis to help marketers make better decisions.

1.10 SELF-ASSESSMENT QUESTIONS

- 1) What is the difference between a marketing information system and marketing research? Justify the need for marketing research.
- 2) Briefly comment on the meaning and definition of marketing research.
- 3) Indicate whether marketing research is relevant to each of the following organization and if so, how each might benefit from it.
 - a) Your company
 - b) Government project
 - c) A retail shops
 - d) A bank
 - e) Non-Profit Organizations
- 4) What are the different stages of the marketing research process? Discuss.
- 5) Describe some potential areas where marketing research might be used.
- 6) What are the major limitations of marketing research? How can marketing research be made more useful from the standpoint of users or decision makers? Discuss.

1.11 PROJECT QUESTIONS

Visit the websites of leading marketing research firms. Take a look at the blogs and webpages they have. List some of the studies of their work mentioned on the blog.

1.12 FURTHER READING

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UNIT 2 APPLICATIONS OF MARKETING RESEARCH AND ETHICAL ISSUES

Learning Outcomes

After going through this unit, you should be able to:

- describe the status of the marketing research industry in India.
- appreciate the role of new technologies in marketing research.
- explain the common applications of marketing research.
- assess Indian businesses' adoption of marketing research
- outline the ethical considerations for conducting marketing research studies.
- examine the difficulties in conducting marketing research in India.

Structure

- 2.1 Introduction
- 2.2 Marketing Research in India
- 2.3 Ways of Conducting Marketing Research in India
- 2.4 New Technologies in Marketing Research
- 2.5 Common Applications of Marketing Research
- 2.6 Adoption of Marketing Research by Indian Businesses
- 2.7 Ethical Issues
- 2.8 Problems in Conducting Marketing Research in India
- 2.9 Summary
- 2.10 Key Words
- 2.11 Self-Assessment Questions
- 2.12 Project Question
- 2.13 Further Readings

2.1 INTRODUCTION

You have learnt meaning, nature and importance of marketing research in Unit 1. You have also gained familiarity with steps involved in conducting marketing research. In this unit, we shall discuss the role and organization of marketing research in India. More specifically, we shall explore as to why marketing research is becoming important in India and what organizational arrangements firms have for conducting researches. Major users and uses of marketing research in the country shall be identified. The unit shall also examine the problems which the researchers face while doing researches in India.

2.2 MARKETING RESEARCH IN INDIA

According to Statista, the size of the market research industry globally is around US\$74 billion, with more than half (US\$47 billion) coming from within the U.S. Kumar (2021) states that post covid, the market research industry is anticipated to recover at a CAGR of 4.1% from 2021, reaching USD82.87bn in 2023.

As per a report by Market Research Society of India, the marketing research industry which was \$2.1 billion in FY21 is expected to grow 12-14 per cent annually and reach \$4.2 billion by FY26 and \$ 10 billion by 2030. The revenue growth trend is shown in figure 2.1.

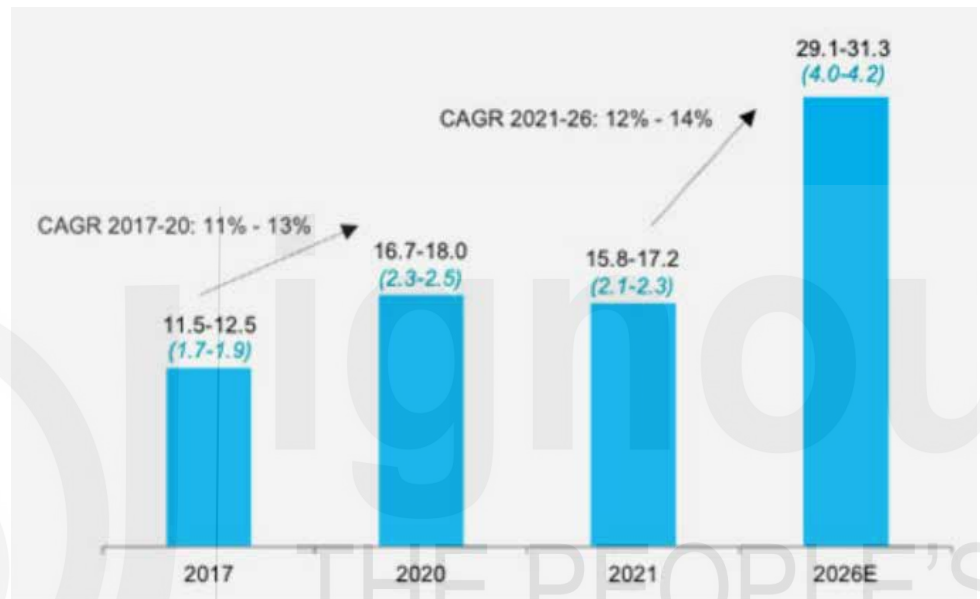


Figure 2.1: Revenue Trajectory for Indian Research Industry (INR '000Cr, USD b)

<https://www.mxmindia.com/2021/12/indian-research-and-insights-industry-to-double-by-2026/>

However, three-fourths of its revenue comes from international outsourced market accounts. In FY21, marketing analytics services accounted for 52 per cent of the total industry revenue, while traditional market research and syndicated/publishing services brought 32 per cent and 16 per cent, respectively. The report expects by FY26, analytics services to account for 59 per cent, while market research and syndicated/ publishing services will account for 27 per cent and 14 per cent, respectively. The FMCG and retail sectors contribute 27 percent to the research revenue, followed by information, communications and telecom (16 per cent), and banking, financial services and insurance (15 per cent). Table 2.1 exhibits the Indian Market Research Industry Structure. The analysis predicts that by 2030, when the industry is anticipated to grow over the USD 10-billion threshold, the abundance of people combined with experience in technology, infrastructure, cost competitiveness, and data handling would cause an upward shift in the sector.

The marketing research industry in India comprises a wide range of research providers, from “conventional” marketing research enterprises meeting

domestic demand to those concentrating on the worldwide market. The Indian marketing research industry has advanced up the value chain from its early days of outsourced marketing research operations and secondary research to support advanced tech-enabled and analytics services. As a result, international markets account for around 3/4 of the revenue generated by Indian service providers. India is placed fourth by industry size in the ESOMAR (European Society for Opinion and Marketing Research) report on Global Market Research 2021. A growing portion of tech-enabled research, which includes a robust analytics area, contributed to an increase in profits for the Indian marketing research industry.

Table 2.1: Indian Market Research Industry Structure

		Percentage (%)
Customers of MR services	FMCG and retail sectors	27
	Information, communications and telecom (ICT)	16
	Banking, financial services and insurance (BFSI)	15
	Manufacturing	10
	Media	9
	Healthcare	8
	Automotive	4
	Utility	1
	Others	10
Customer Location	Domestic	24
	International	76
Services Offered	Traditional market research	32
	Syndicated/publishing services.	16
	Marketing analytics services	52
Types of MR Service providers	Full-service MR agencies, Media and Audience measurement agencies	25
	Captives	14
	IT and BPO Companies	27
	KPOs	22
	Report publications	11
	Field Marketing agencies	1

Source: https://www.mrsi.co.in/mrsi_data/annual/aug-2022/1660112795354.pdf

It is obvious that market research is expanding in India. The market research sector has expanded as a result of telecommunication disruptions, technical

advancements, the emergence of the middle class, a young population familiar with global brands, and lower research expenses in India. The number of Indian market research companies has rapidly increased in recent years, and American and European businesses are increasingly interested in outsourcing their market research projects to India. Businesses in developed countries can save on market research by outsourcing it to India.

The main driver of demand from abroad is the enormous cost advantages of conducting market research in India. The cost of data processing is roughly 50% lower in India than it is in industrialized nations. As a result, the outsourcing business is expanding and seeing its worth double yearly. India has the second-largest number of English speakers in the world and a stable political system. The middle class is expanding and includes both young adults and those with strong brand knowledge. India is a desirable country for foreign businesses because of these factors. India is a popular destination for outsourcing since it has built a pool of qualified market research experts that can provide companies with top-notch study methodology, data processing, analysis, and reporting.

Activity 1

Make a list of the organizations in your area that offer marketing research services. Additionally, interact with any two of them—whether offline or online—and ask what kinds of research services they offer to clients.

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2.3 WAYS OF CONDUCTING MARKETING RESEARCH IN INDIA

In general, a company has two options for conducting research: either using its own people or contracting with outside organisations. Some businesses use both available options. The company's sales and marketing personnel can undertake in-house research, or they can have a department or staff member who is specifically trained to conduct marketing research. Only major organisations that frequently need research choose for this form of organisational structure due to the high costs associated with hiring specialised research workers or creating a separate research department. Small businesses and organisations that do not frequently require research prefer to conduct research studies with their sales or marketing staff. As and when the need arises, some of the sales and marketing people are picked up and assigned the research tasks. Because these individuals generally lack specialised knowledge of marketing research and, in addition, perform routine sales and marketing activities, the quality of the studies conducted by such individuals remains in question.

Utilizing outside organisations or specialists, such as marketing research

organizations, advertising agencies, and consultants, is another crucial approach of information gathering. As a result of the country's growing need for research services, a large number of marketing research companies have emerged. These companies offer both customised and syndicated research services to help business firms. Customized research is research that has been made to specifically address the information demands of a single client. Since just one company benefits from such research, the full expense of the study is borne by that one company alone. On the other hand, syndicated research entails the gathering of a shared pool of data to satisfy the information needs of various organisations. The expense to a single firm is significantly lower because the results of such a study are shared among multiple companies. These studies are frequently carried out on a regular basis by the research agencies, and the information obtained in this way is made available to the businesses via subscription.

The most common data collection method utilised by marketing research companies in India is interviews. These interviewing techniques are among the top 10 commonly used methods and include in-depth interviews, CATI (Computer-Assisted Telephonic Interviews), CAPI (Computer-Assisted Personal Interviews), PAPI (Paper and Pencil Interviews), and face-to-face interviews. Focus groups, internet surveys, desk research, mystery shopping, and recruiting are additional frequently used methods. Some businesses also use panels and ethnographic methods. Interviewing methods used in marketing research studies in India are shown in Table 2.2.

Table 2.2 Interviewing Methods used in Marketing Research in India

Rank	Content	Percentage
1	In-depth Interviews	71%
2	Focus Group	69%
3	Online Survey	67%
4	CATI (Computer-Assisted Telephonic Interviews)	64%
5	Desk Research	44%
6	CAPI (Computer-Assisted Personal interviews)	42%
7	Mystery Shopping	42%
8	Recruiting	40%
9	PAPI (Paper And Pencil Interview)	38%
10	Face-to-Face Interview	38%

Source: *Segal and min*

Many companies offer project-specific marketing research services to their clients. As exhibited in table 2.3, services linked to data collection and processing are most frequently offered. Report writing is the second most common type. The majority of companies did offer the full range of these services, including collecting data, analysis, and report writing.

Table 2.3 Marketing Research services for Specific Projects in India

Rank	Content	Percentage
1	Data Analysis and Processing	86%
2	Data Collection	59%
3	Report Writing	55%
4	Survey Programming	64%
5	Data Entry and Tabulation	41%
6	Open-ended Coding	32%
7	Data Cleaning and Validation	32%
8	Transcription	32%
9	Questionnaire Design	27%
10	Multivariate Analysis	27%

Activity 2

In what ways is marketing research organised at your company? List the arrangements your company has in place for both internal and external research. (Alternatively, you could approach another organisation with which you are familiar and complete this task.)

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2.4 NEW TECHNOLOGIES IN MARKETING RESEARCH

India has made incredible progress in the digital arena. Internet users increased from 0.62 million in 2010 to 843.06 million in 2021 (the second-largest in the world). According to Statista, this figure is expected to reach 1.5 billion by 2040, with smartphone usage vastly outpacing that of desktop and laptop usage. Smartphones are now present in 84 percent of households. In India, affordable cell phones have been available since 2010, making way for their widespread use and increased digital literacy. The Indian government further deregulated the industry after seeing the potential of investments in its telecommunications sector. With its low-cost, high-speed

4G data plans and free voice calls in 2016, Reliance Jio disrupted the Indian telecom industry. Due to the fierce competition in data pricing, other telecom companies were forced to lower their prices, which increased the number of Indians with access to affordable mobile internet.

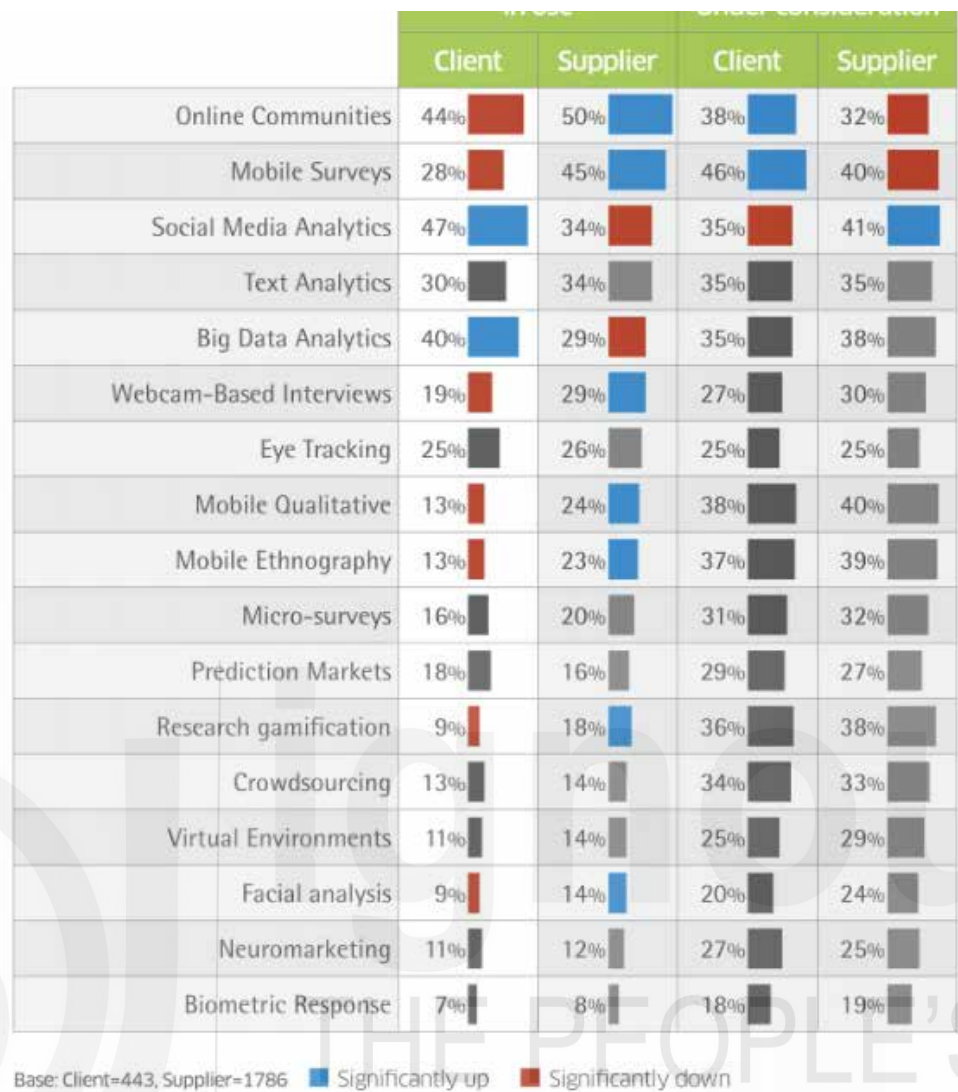
These technology improvements are a major benefit for Indian marketing researchers given the cost savings of using the internet or phone instead of face-to-face interactions. The rise in social media use has also significantly benefited the expansion of market research in India. Face-to-face research predominated before the pandemic. To learn more about their customers, businesses use a number of standard market research techniques. These have historically entailed time-consuming and expensive market research, focus groups, surveys, and interviews. On the other hand, the initial wave of the COVID-19 pandemic and the lockdown increased digitization, making it easier to employ social media and technology for research initiatives. The market research industry in India today has access to new technology and is implementing them to gather, analyse, and present data more quickly and correctly. Advanced analytics and social media are all being used by Indian market researchers. An effective solution is provided by recent advancements like artificial intelligence, machine learning, and “big data.” Furthermore, AI is capable of reading market data in any language, which is quite helpful in a multilingual country like India.

New technologies such as artificial intelligence and machine learning are expected to provide substantial opportunities, as they will enable faster analytics and report creation. Tuck (2021) identified the future trends in marketing research:

- Augmented reality and virtual reality: Virtual environments can be used for product concept testing, early-stage product feasibility analysis, and understanding consumer behaviour.
- Artificial intelligence (AI) helps derive insights from a large set of data.
- interpreting natural-language discussions with the aid of technology.
- Online qualitative research and social listening for a detailed understanding of the market and customers.
- Combining the capabilities of real-time research with agile market research could result in a comprehensive perspective of a consumer’s past, present, and future habits at the rate at which they change.

Kumar (2021) states that the surveys would be shorter due to the decreasing attention span in humans and that organizations would prefer to do in-house research. This is supported by Michael (2020) who describes the techniques that are currently in use and under consideration in the future by both the supplier and the clients (Figure 2.2). It can be seen that while clients would depend more on online communities and mobile surveys, the supplier’s role for these is decreasing, indicating a shift to more in-house research. We will discuss the impact of new technology on marketing research in detail in Block 4 of this course.

Figure 2.2: Techniques of the future: client vs supplier



2.5 COMMON APPLICATIONS OF MARKETING RESEARCH

We have already discussed the scope of the marketing research functions in Unit 1. In this section, we will further explain the common applications of marketing research. Marketing research is frequently used to make decisions about new product development, market share estimation, competitor information gathering, demand estimation, product modification decisions, customer satisfaction measurement, product positioning, market segmentation and diversification decisions, advertising theme/message decisions, pricing decisions, customer service decisions, product elimination decisions, and channel evaluation.

An Exploratory Investigation of Marketing Research Services in India by Segal and Min details the types of studies and Specialized or Niche Services offered by Indian marketing research companies. As exhibited in Table 2.4, customer satisfaction surveys are the most frequently requested research service in India, and advertising research is the second most used technique. Following usage and attitude research, consumer research, concept and product testing, brand and pricing research, tracking studies,

and segmentation research.

Table 2.4: Types of Marketing Research used in India

Rank	Content	Percentage
1	Customer Satisfaction and Loyalty	62%
2	Advertising Research	55%
3	Segmentation Research	45%
4	Usage and Attitude	44%
5	Consumer Research	42%
6	Concept Testing	40%
7	Product Testing	40%
8	Brand Research General	38%
9	Pricing Research	36%
10	Tracking Study	33%

Indian marketing research companies offer a broad range of specialised services and distinctive competencies. However, consulting (54%) is the most widely used service and includes services in the following fields: market overview; trade competition; customer, retail, and shopper marketing; brand and portfolio management; pricing and promotion strategies; product innovation and renovation; social media intelligence; strategic consulting; and segment consulting. A second prevalent service is a retail audit (38%). Other audit categories (13%) include stock audits, audits for outlets with multiple brands, audits for accessible facilities, mystery audits, image measurement, and audits for retail stores. As can be seen in Table 2.5, social research is the other common specialised research service offered by marketing research businesses in India (29%).

Table 2.5 Specialized or Niche Services Offered by Indian Marketing Research Companies

Rank	Content	Percentage
1	Consulting	54%
2	Retail Audit	38%
3	Social Research	29%
4	Audit (General)	13%

Activity 3

What objectives has your company had for conducting marketing research in the past two years? List the major applications. (Alternatively, you could approach another organisation with which you are familiar and complete this task.)

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2.6 ADOPTION OF MARKETING RESEARCH BY INDIAN BUSINESSES

Sharma, M. states that the Indian business community has not accepted marketing research to its fullest, as:

- India presents a fortunate case of seller's market, from the angle of manufacturers and marketers.
- There is no need to go in for this costly exercise. The majority of business houses are of the very strong opinion that systematic marketing research calls for a lot of time, money, and talent; if the same amount of time, money, and talent were used for expansion and other purposes, it would be more profitable than wasting it on marketing research when firms are making profits without it too. Shaw (2021) also supports this by stating Indian companies understand the importance of market research and use it effectively. However, they are amongst the lowest-paying countries for market research.
- The business community is happy with the market information supplied freely by the intermediaries such as wholesalers, retailers, and agents. They do not believe in deliberate efforts to collect, analyze, and interpret market information.
- Many Indian manufacturers do not have the operational freedom to manufacture and price products as they like. For example, in the automobile industry, early change of models is not permitted; several items are reserved for the small-scale sector. Under these restricted working conditions, the manufacturers say that marketing research is of no use.
- Many firms capable of spending on marketing research question the validity of it, stating that marketing research is not a panacea to business ills like product failures, reduced profits, dwindling profitability, and so on.
- Even if the company welcomes marketing research, it cannot substitute managerial decisions. It is only an aid and not an end in itself.

However, business conditions are rapidly changing. India is not going to remain a seller's market for ever; competition is increasing; consumer behaviour is rapidly changing. There is therefore a good scope for marketing research in India in competitive and non-competitive activities.

Irwonline (2019) defines the rules for conducting effective research in India as follows:

- **Rule #1: Speak Their Language(s)**

India's 22 official languages have 400 different dialects. Researchers should be able to communicate with the different groups effectively.

- **Rule #2: Don't Get Lost in Translation**

Flowing from rule 1 is the need for translation of research to different

languages. However, literal or pure translations often don't account for true spoken language, and they can often lead to misinterpretations by both interviewers and respondents. That's why it's always in the researcher's best interest to work with a local translation partner who understands the local slang.

- **Rule #3: Respect the Culture**

There are a number of cultural elements that must be considered before launching a research project in India. It has a strong influence on their perspectives.

- **Rule #4: Don't Always Rely on Modern Technology**

There is a need to bring in managerial expertise while interpreting the data.

- **Rule #5: Beware of Fraud**

Interviewers could demonstrate a pattern of "straightlining" questions or steer the interviews toward the shortest paths of completion.

2.7 ETHICAL ISSUES

The above rules also bring in the ethical issues that need to be looked at while conducting marketing research. Ethical considerations need to protect the rights of respondents and maintain scientific integrity. Some of the ethical considerations are detailed in Table 2.6.

Table 2.6: Ethical issues in Marketing Research

Ethical issue	Definition
Voluntary participation	Respondents should be free to opt in or out of the study at any point in time.
Informed consent	Participants should know the purpose, benefits, risks, and funding behind the study before they agree or decline to participate.
Anonymity and confidentiality	The anonymity of the participants is maintained. Personal and identifiable data should not be collected or disclosed.
Potential for harm	Physical, social, psychological, and all other types of harm are kept to an absolute minimum.
Results communication	Results should be accurately shown.

The Council of American Survey Research Organizations (CASRO) has listed the dos and don'ts for ethical research:

- DO respect the rights of all research participants: confidentiality, transparency and privacy. Ensure that all participants are voluntary, and that they have the right to withdraw their consent at any point

during the research process. Respondents must also be informed if they are being filmed or recorded.

- DO establish with the firm you have hired to conduct the research that they are conducting it in your best interest, not theirs—that is, that the research being run is of no benefit to their personal or firm interests. It is best to come to an agreement about the means of research and the cost of research before anything is begun.
- DO be sure to cite the name of the firm that conducted the research, the purpose, and the dates of the study in any reports. Through transparency, you'll show your viewers that your research is trustworthy, and that the strategies you used were effective.

On the other hand, there are the “don'ts”:

- Don't ask the researchers for confidential information about the respondents or their responses.
- Don't dictate the methods used by the firm you've hired to conduct the research—leave it to the research professionals—but they should explain the ‘why’ of their recommendation.
- Don't ask for quantitative analytics from a qualitative study, and vice versa. If you need a certain kind of data, make sure the study is done in a way that the results are useful for your organization and purposes.
- Don't conduct primary research (new data) when you can purchase the results of a secondary study (already collected data) for the same purpose for much less. Why pay for a costly survey or focus group when someone else has already done something with the needed results?

2.8 PROBLEMS IN CONDUCTING MARKETING RESEARCH IN INDIA

India may be viewed more as a continent than a country, therefore conducting marketing research presents unique challenges. This is due the diversity of cultures, traditions, customs, behaviours, languages, and even regional dialects. It is difficult to conduct market research in India because of the vastness of the nation, demographic diversity, infrastructure problems, and cultural issues. The following section discusses some of the key issues that you, as a researcher, would encounter when carrying out marketing research in India.

India is a diverse country where one size does not fit all. When planning surveys and studies, as well as choosing local markets, researchers must be aware of the cultural peculiarities unique to various regions of the nation.

The size and diversity of India's population is a major factor while conducting marketing research. India must be divided into several hundred districts in order to conduct national surveys and interview thousands of individuals due to its size and diversity. This is much beyond the capacity of any small or medium-sized business and would require a significant amount of time, money, and a large number of field personnel.

The problem for the researcher is complicated by linguistic complications and cultural diversity. The 22 official languages of India have several dialects. For any serious poll performed in the country, the questionnaire must be translated into a minimum of five to six distinct languages. The inability to accurately translate specific technical jargon or phrases usually contributes to the issue of data not being comparable across regions.

Accessibility for people living in the country's interior is still another major problem. India has a rural population of over 70%, and the rural market has been expanding five times faster than the urban market. However, given the vastness of the nation and its extremely diverse population, conducting market research in India's rural areas continues to be prohibitively expensive. Additionally, rural places exhibit greater complexity due to hyper-localization of languages, dialects, and traditions than metropolitan centres do. Due to poor literacy rates, mail interviews have limited value. The only other option that seems to be workable is personal interviews, but even these are plagued by transportation issues and a shortage of competent staff in small towns and rural locations.

Market research companies in India must target a number of cities, each with its own language and cultural peculiarities, in order to collect data for nation-wide studies. Even while Indian market researchers are aware of the difficulties and how to navigate them, it might be difficult to convince clients that the high expense of conducting nation-wide studies is worthwhile.

Indian businesses are among the most demanding but pay the least for market research, despite the fact that they recognise its value and make great use of it. About 30% of employees leave Indian market research organisations each year due to low salaries. High-calibre research expertise is difficult to retain in India due to the relative lower compensation.

The accessible secondary data are frequently not as reliable due to incomplete coverage and redundant information. Data are not easily accessible for a number of aspects that the researchers are interested in. Although the nation conducts a census every ten years, the full results are not made public for a considerable amount of time. Even the trade and industry organisations do not have complete and up-to-date lists of manufacturers and tradesmen. Additionally, the production and sales statistics for the sector and enterprises are not accurate, current, or comprehensive.

The existence of appropriate sampling frames is a need for the use of random sampling and other complex sampling techniques (i.e., a list of the target market population from which the samples are drawn). The lack of such lists in the country makes research jobs more difficult and causes the researcher to adopt non-probability sampling techniques, which has a negative impact on the validity and reliability of the survey results.

The application of marketing research in India is further hampered by attitude problems. For instance, according to a study by the Consulting and Research Enterprise (CORE) group, only two-thirds of the executives of the firms surveyed believed that the results of marketing research accurately reflected reality and that the information was trustworthy enough to be used in making decisions. Approximately 58 percent of businesses disagreed when asked if

the expenditures of conducting marketing research are low compared to the benefits that result from doing so, indicating that marketing research is not especially useful. Furthermore, just 57% of the executives disagreed the idea that “gut instinct is more essential than marketing research”. The others either agreed with the assertion or expressed uncertainty. The managers also seemed quite anxious about how long it would take to do the marketing research study. Only 42% of respondents disagreed that market research “often takes too long to be of any real use.” Many executives believe that marketing research in India falls well short of expectations in terms of both quality and sophistication.

Despite the many challenges that lie ahead, there will always be a demand for competent, creative market researchers. Even while automation and technology may be intruding on the domain of market researchers, you still need people to find information and insights. Techies and problem solvers will be combined in the top market research teams of the future, who will employ technology to simplify and accelerate their investigations. India’s future success as a source of market research to the world will be ensured by a high-quality, precise, quick, and affordable research workforce.

2.9 SUMMARY

In this unit, we have discussed the ways of conducting marketing research in India. More specifically, we explained the common applications, role of new technology, and adoption of marketing research by Indian businesses. The unit has also examined the ethical issues and problems that the researchers face while doing research in India. Because of excessive regulations and a lack of competition in the market previously, not much need was felt for marketing research in India. However, with the dismantling of the licencing system and other regulatory measures during the last two decades or so, increasing competition in the market, fast-changing technology, and growing consumer sophistication, it is no longer possible for the marketing managers to solely make decisions based on their gut feelings and past experiences. They have come to increasingly rely upon the information collected through the process of marketing research. The Indian firms make use of both in-house staff and outside research organizations, advertising agencies, and consultants for getting research conducted. Seeing the growth in demand for outside research services, a large number of marketing research organizations have come up in the country to provide both customized and syndicated research services.

2.10 KEY WORDS

In-house research: Research conducted by the staff within the firm.

Outside research services: Hiring services of the persons, organizations and agencies outside the firm for conducting researches. The outside organizations include marketing research agencies, advertising agencies and consultants.

Marketing research agency/organization: It is a firm or an organization which specializes in the area of marketing research and earns revenue by

conducting researches for its clients.

Customized research: A type of research conducted by the marketing research agency for its client. The whole research project is designed to collect the information as required a particular client.

Syndicated research: A type of research in which the research agency collects a pool of data for serving the information need of a number of clients. Since the information so collected is sold to a number of clients, it costs much less to a single firm purchasing such information,

2.11 SELF-ASSESSMENT QUESTIONS

1. What are the major reasons for growing importance of Marketing Research in India’?
2. What are the different ways of conducting marketing research’? Describe the scope for outsourcing of marketing research services in India?
3. Discuss the role of new technologies in marketing research.
4. Suggest some possible areas where marketing research would find increasing application in India’?
5. Comment: “Ethical considerations need to protect the rights of respondents and maintain scientific integrity.”
6. Briefly comment on the problems faced by researchers in conducting marketing research in India?

2.12 PROJECT QUESTIONS

Browse through business magazines and newspapers and identify marketing research studies done in India. Classify them by industry and the type of research (product related, pricing related etc.)

Based on this, identify the potential for marketing research in India.

2.13 FURTHER READINGS

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UNIT 3 IDENTIFYING AND DEFINING RESEARCH PROBLEMS

Learning Outcomes

After studying this unit, you should be able to:

- differentiate between a decision problem and a research problem
- appreciate the way in which a decision problem is defined in marketing research.
- demonstrate the different ways in which a decision problem is converted into a research problem.
- apply the process of developing a new concept to identify the information needs for a research study.

Structure

- 3.1 Introduction
- 3.2 Decision Area
- 3.3 Research Problem
- 3.4 Converting a Decision Area to Research Objectives
- 3.5 Summary
- 3.6 Key Words
- 3.7 Self-Assessment Questions
- 3.8 Project Question
- 3.9 Further Readings

3.1 INTRODUCTION

We have discussed in Unit 1 that the research process begins with the defining of a problem. For example, a fruit and vegetable merchant would be curious as to why sales of organic fruits and vegetables are really not in line with expectations. He was curious as to why he might not have received the anticipated return. What options need to be considered while making a decision? These decision-making-related problems need to be translated into research problems in order to identify the causes and offer potential solutions from which the decision-maker, in this case, the fruit and vegetable retailer, may choose the best course of action. The questions that could be used to define the research problem are

Are customers aware of the benefits of buying organic fruits and vegetables?

How might consumers be encouraged to spend more money on organic fruits and vegetables?

Which customer segments should be targeted?

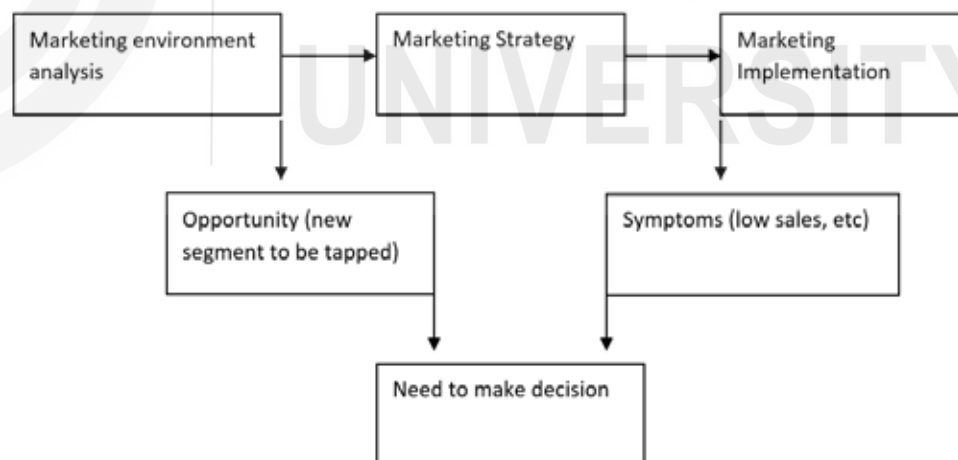
What kind of promotion strategy would be most effective?

Finding answers to these types of research questions through various steps of the research process would finally help the fruit and vegetable retailer make a decision. In this unit, we will discuss the process of identifying and defining research problems.

3.2 DECISION AREA

As we have seen, the problem definition phase is essential to the success of the research process since “a problem well defined is a problem half-solved.” The probability of gathering the data needed to address the research problem increases if the problem can be properly identified. This necessitates a very precise alignment between the research problem and the problem facing the decision-maker. The major problem for marketing managers while making decisions may be what to do in a specific situation. For example, how can a decline in market share be stopped? Here, the declining market share is a symptom. There could be several reasons why market share is declining. The other situation would be when opportunities in a new market segment are found while doing a marketing environment analysis. This needs to be further explored from the perspective of marketing decision-making. These circumstances would call for decision-making, which is why they are known as decision areas. (Figure 3.1). Finding these underlying causes and establishing an opportunity is regarded as the problem of marketing research. In order to make the best possible decision, it involves identifying the causes and obtaining the information that is required. The first stage of the research process would therefore be to transform the decision-making process into the research process by identifying the information that the decision maker needs. This stage is known as problem definition stage.

Figure 3.1: Decision Area



Pingali, 2010

Activity 1

Talk to the marketing manager of your organisation or any other organisation that you are familiar with and identify any two decision areas that need to be addressed.

.....

3.3 RESEARCH PROBLEM

The process of defining research problems begins with the formulation of the research objectives. Research objectives are a general definition of the information needed for marketing research studies (e.g., understanding the effectiveness of advertisement). At the beginning of the research process, it might not be feasible to state the problem clearly because, at that point often only the symptoms of the problem are visible. In order to define the problem situation, some exploratory research may be done prior to formulating a more detailed problem statement. Since marketing research is an expensive process in terms of both time and money, a clear problem definition is essential. By paying close attention to how the problem is defined, the researcher can establish appropriate study objectives, which in turn make it easier to collect useful and affordable data. Surveys of secondary data, experience surveys, or pilot studies are the methods that are most commonly used.

According to FAO (1997), a marketing researcher must convert the problem of the decision-maker into research objectives that are “clear, concise, attainable, measurable, and quantifiable.”

These research objectives are divided into a wide range of research questions that would yield the precise information required to deal with the decision area. For example, the research questions for a study to prepare an action plan to ensure citizens follow Covid Protocol would be.

1. Who are following, not following?
 - i. Vaccinated
 - a. No. of doses
 - ii. Infected
 - iii. Demographic profile
2. What
 - i. What guidelines are they following, not following?
 - a. Gaps
 - ii. What are the consequences of not following?
 - iii. What do they think about the rules?
3. When are they following?
 - i. Occasions
4. How do they get the information?

5. Why are they following?
 - i. Fear
 - ii. Following as there is no option
 - a. Livelihood
 - b. Job requirement
 - c. Peer pressure
 - d. Compulsion
 - iii. Not Following
 - a. Vaccinated
 - b. Infected
 - c. Frustrated
 - d. Nothing will happen
 - e. Problem is over

Despite its importance, many marketing research studies lack a clear definition of the problem. There is an assumption that marketing issues are well-known, simple to define, and obvious. For instance, a decline in sales is merely an effect; it is not a problem. The true problem may lie in how well the brand is accepted as well as in the pricing, promotion, availability, and so on. In order to obtain relevant information to fix the problems, it becomes necessary to discover the true nature of the problem. As stated by Chapman (1989),

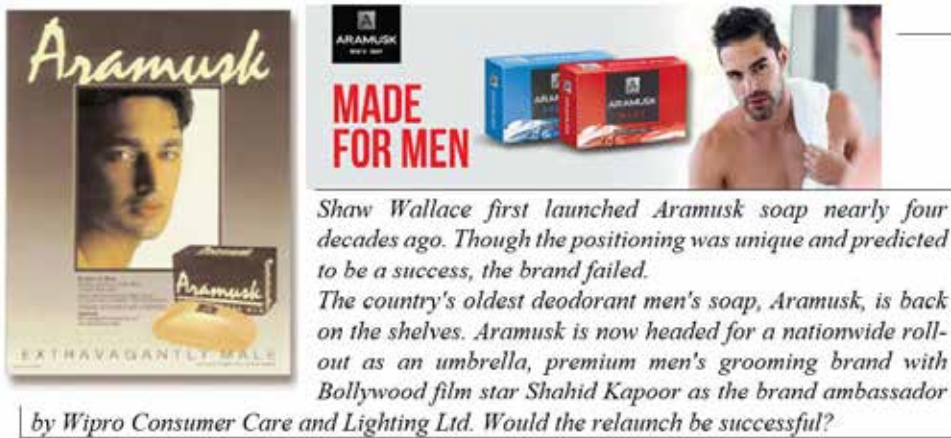
- (a) Often, the decision maker does not know what the precise problem is. There may only be a feeling that something is wrong, or perhaps a sense that marketing research “would be a good.”
- (b) Problems are usually “buried under a heap of symptoms.” Problem-definition may involve probing into the symptoms to identify the problem.

As a result, the process of transforming the decision problem into a research problem is very important.

3.4 CONVERTING A DECISION AREA TO RESEARCH OBJECTIVES

The way the decision maker defines the decision problem is termed as the research brief.

For example, if Wipro Consumer Care and Lighting Ltd, wants to study the success of Aramusk’s relaunch (Exhibit 3.1). The research brief could be:

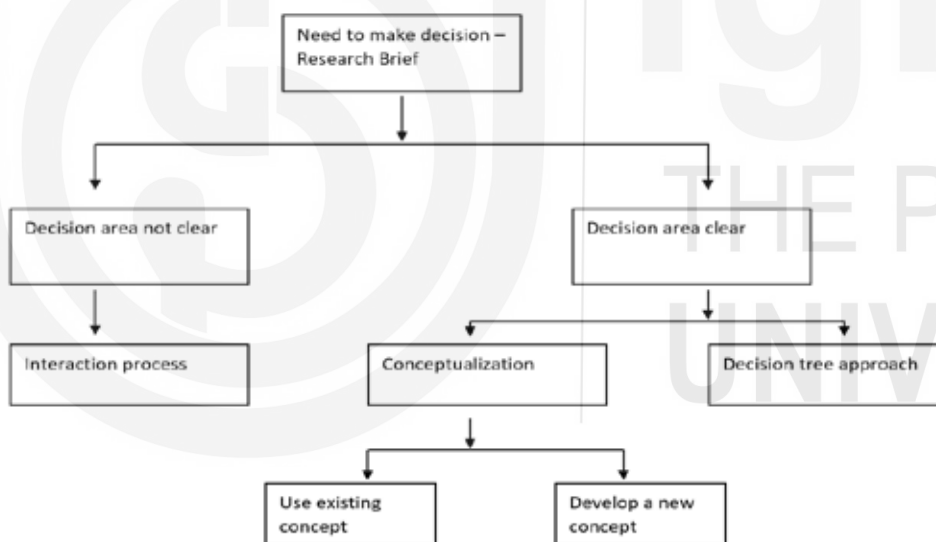


MADE FOR MEN

Shaw Wallace first launched Aramusk soap nearly four decades ago. Though the positioning was unique and predicted to be a success, the brand failed. The country's oldest deodorant men's soap, Aramusk, is back on the shelves. Aramusk is now headed for a nationwide roll-out as an umbrella, premium men's grooming brand with Bollywood film star Shahid Kapoor as the brand ambassador by Wipro Consumer Care and Lighting Ltd. Would the relaunch be successful?

By using the research brief, the decision-maker and the researcher should work together to identify the study problems. Figure 3.2 illustrates the various methods for identifying the research problem from the decision problem.

Figure 3.2: Process of developing Research problem



The different ways of converting a decision problem to a research problem area:

- a. Interaction method:
- b. Decision tree approach
- c. Conceptualization:
 - i. Using existing concept
 - ii. Developing a new concept

3.4.1 Interactive method

The interactive approach should be used if a decision maker is unable to state the problem clearly. The researcher can formulate a preliminary

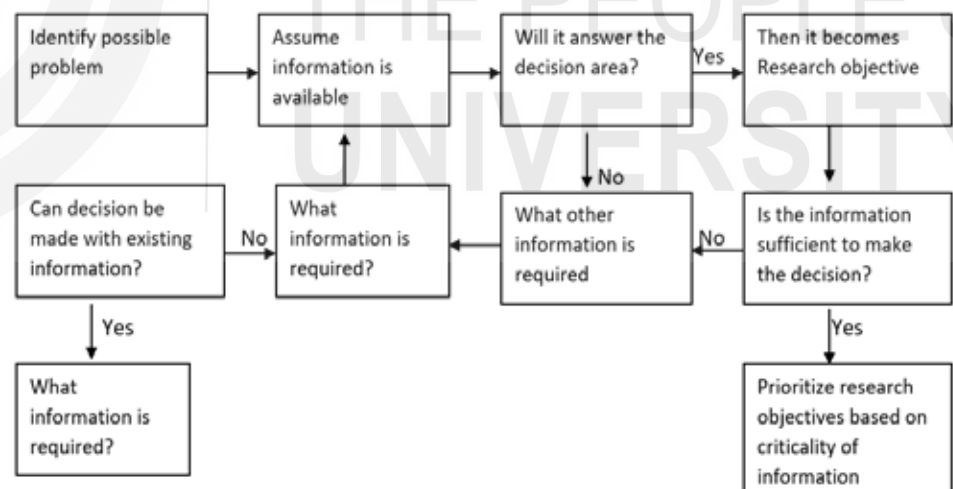
problem statement by asking general questions such as “Why do you feel the need for research?” and “What do you (don’t) know about the situation?” (Chapman 1989).

Starting with the preliminary formulated problem statement, the researcher should then move on to more in-depth questions for the decision maker. The following are examples of such questions:

1. Why carry out marketing research when you might just make your decision based on existing knowledge?
2. What information will make a difference in the decisions to be made?
3. Does the decision maker really need to know this?
4. What decisions can be made with the information? If the discussion suggests that the decision is not possible with this information, then the information may not be useful (then go to 2). If the information is relevant, then it becomes a research objective (then go to 5).
5. Would the research objective provide sufficient information to address the decision area? If yes go to 6. If not go to 4.
6. If there are many research objectives, they must be prioritised according to how important the information is that is needed.

In order to explain the decision area and the information needed for the decision, this interaction procedure would also act as a “dummy test” (Figure 3.3).

Figure 3.3: Dummy test: The process



The dummy test will help:

- a) Identify the research objectives
- b) Prioritize them (in case there is a budget constraint, then it could help in deciding how the budget should be spent across the different research objectives).

It can help the decision maker to re-look at the decision area and allow modification of the decision area.

Tata Steel has introduced a new brand of coated products, named GalvaRoS to address the unmet requirements of the emerging corporate accounts (ECAs). This product has been created to meet the evolving needs of the micro-segments, while strengthening the pillars of sustainability - economical sustainability & social sustainability, critical to growth and development. Chief of Marketing & Sales (Branded Products & Retail), Tata Steel, said: “These new product brands are the pillars of future growth and are not only eco-friendly but also eco-effective. It will create a green, healthy and productive ecosystem of stakeholders that produces eco-friendly products to meet customer needs of today and tomorrow.” The overarching requirement in today’s context, is to re-align, re-boot and recharge the manufacturing ecosystem, to build a resilient and future-ready MSME sector, Tata Steel said. With the launch of these innovative and environment-friendly products, the company added it reaffirms its commitment to create a sustainable ecosystem for stakeholders.

Design a marketing research study to understand the need of GalvaRos for MSME buyers.

Decision Area:

Develop a marketing plan to create a green, healthy and productive ecosystem of stakeholders that produces eco-friendly products to meet customer needs of today and tomorrow. Re-align, re-boot and recharge the manufacturing ecosystem, to build a resilient and future ready MSME sector.

The Big picture

GalvaRoS offers a host of unbeatable advantages that reduces wastage and delivers greater value. A high-quality coated steel offering that ensures a better return on investment, thereby fulfilling the need for economic sustainability to sustain businesses for tomorrow. The product is available in various grades with strict tolerance maintained.

There is a need to build a Marketing Orientation (4Cs) for the unmet needs for the emerging corporate accounts.

- Satisfy the needs of the customers,
- Better than the competitors,
- At the lowest cost,
- In the given context.

Research Objectives to be confirmed by interaction:

- Market potential (emerging corporate segments)
- Competitive advantage of Galvaros for different emerging segments
- Buying process of emerging segments of MSMEs (and variations)
- Role of influencers

Research Questions (an interactive process would help identify the gaps in information for making the decision).

What is the offer?

- Need gaps: Catering to unmet needs of emerging segments (economical sustainability & Social sustainability)
- How to define the Marketing product: Economic or environmentally friendly.
- Who should want it? (Marketing Universe- Potential/ demand)
- MSME Segments- what is the requirements currently for friendly offerings.
 - Ducting
 - HVAC
 - Cable Tray
 - Appliances
 - General Engineering
 - PEB structures
 - Artefacts

Why? (Competitive advantage)

- Benefits- how are the existing offerings on these dimensions.
 - Better yield
 - Environment friendly: 100% RoHS compliant
 - Superior corrosion resistance: Salt Spray test
 - Superior flatness guaranteed
 - Uniform coating thickness: Uniform Zinc coating adhesion
 - Strict tolerance in maintained
 - Better return on investment: By offering customised product
 - Wide range: various grades availability
 - Customization: Processed and customised material available
 - Current practices
- Why is this better than the current offerings? (Positioning)
- Differentiators for different segments
- Current need or need has to be created

How?

- Channel Information
 - Where are the MSMEs getting their current requirements?

- o Does Tata Steel have a reach to supply to this channel?
- o Does Tata Steel have a bargaining power with these channel partners?
- Communication Information
 - o What are the communication routes available to reach them?
 - o Does Tata Steel have access to these channels.
- Influencing Buying process.
 - o Create Awareness
 - § Awareness about Galvoros
 - § Extent of awareness on Environment requirements
 - § Extent of awareness about Legal requirements
 - o How to create Interest
 - § Credibility of sources of information
 - § Influencers and their role
 - o How to create Desire
 - § Economic benefit
 - § Sustainable benefit
 - § Marketability to MSMEs consumers
 - o Ensure Action
 - § Purchase intention
 - § Service requirements

Since Tata Steel would be dealing with some of these segments, their current understanding obtained through the interactive process would define the scope of the study.

3.4.2 Decision tree approach

A decision tree is defined as a model where the extracted information is sorted hierarchically by the use of connected nodes. That is, a decision tree is essentially a diagram that represents, the main events that introduce uncertainty, as well as possible outcomes of all those decisions and events. A decision tree is one of the most systematic tools of decision-making theory and practice. Such trees are particularly helpful in situations of complex multistage decision problems.

The decision tree should start with the basic questions and then break it down in to specifics. This is explained using the case of Garage Butler.

Case: Garage Butler

The Garage Butler is a device that will automatically close your garage door when you forget. You can NOW have peace of mind knowing that you NEVER have to worry about leaving it open ever again.

Concepts and Applications

We all hear of reports of homes being vandalized because the garage door was left open. Everyone, at one time or another, has inadvertently left their garage door open. The investment of this add-on called the Garage Butler is a small price to pay for peace of mind. This patented device will attach to any garage door mechanism that has a working opener/closer button and will not interfere with the opener's normal operation, nor will it interfere with any infrared safety circuit.

The garage door will close after a time delay of 3-10-20-30-45 or 60 minutes. Usually the shorter time is ideal, however in the wintertime when one would like to start the car and let it warm up, a longer time is preferred to prevent the build-up of deadly exhaust fumes.

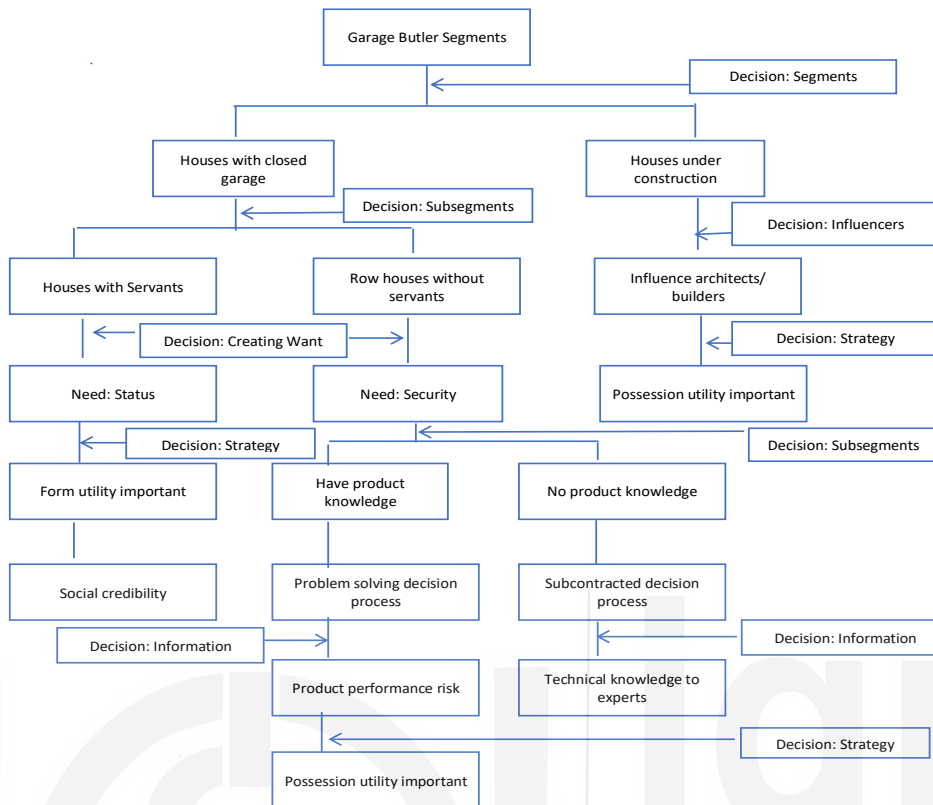
The door may be programmed to stay open, to clean out the garage, have a garage sale, etc. If you forget to close the door, the door will be closed when it gets dark - thus preventing the door from being left open all night. Or you can turn the switch to the 'off' position and you can leave your garage door open for an unlimited period of time.

- Works with all current opener safety features.
- Easy installation, attaches to your current opener button.
- Timer, 3-10-20-30-45 or 60 minutes then it will close your garage door.
- Light sensor, closes the garage door when it gets dark.
- Hold button, when pressed the butler will not close after 3-10-20-30-45 or 60 minutes.
- Beeper, after the chosen period of time it will beep for 30 seconds alerting you to the fact that it is about to close the garage door.
- On / Off button giving you complete control.
- Status indicator light.
- Manual open/close button.
- Double sided mounting tape, NO holes to drill.
- Patented lowest cost product on the market.

The Garage Butler was created as a security device to easily attach to your current garage door opener. According to statistics, half of all burglaries occur from a garage door being left open. The Garage Butler will eliminate the possibility from this happening to you. You can NOW have peace of mind and never have to worry about your garage door ever again!

Design research to study the need for Garage Butler.

Figure 3.4 Decision tree for Garage Butler.



The decision tree (figure 3.4) starts by defining the segments, then understanding the different stages of the buying process. Each stage may require an intervention before the buyer moves to the next stage.

3.4.3 Conceptualization

Conceptualization is a process where an issue is understood by breaking down the concept into variables such that the relationship between them is identified.

In order to obtain relevant information, Chapman (1989) highlights the importance of conceptual thinking at the initial stage of marketing research. Conceptualization may take two different forms:

- i. Applying an existing concept, or
- ii. Developing a new concept

Conceptualization by applying an existing concept and developing a new concept are discussed through two case studies.

Case: Environment consciousness

“Given the generally deteriorating state of the environment, both locally and globally, the question of the extent of popular concern about environmental problems in India has been of considerable importance.

Government leaders often assume that the public is unaware of environmental problems and little concerned with their solution. Environmental NGOs, on the other hand, often assert that common people are deeply concerned

Concepts and Applications

about the state of their environment, reflecting traditional beliefs that people should live in harmony with nature.

Since no empirical information about environmental consciousness is available

The government needs to know what the level of environmental consciousness present in India”.

Several concepts exist which could be applied to different problem situations. The above research brief of Environmental Consciousness is broken down into information needs using an existing concept of “hierarchy of effects”. In hierarchy-of-effect models, AIDA is a well-accepted marketing model which aims to obtain the ‘attention, interest, desire and action’ stages an individual goes through before changing his/ her behaviour. Each stage is broken down into specific data points. The relevant information for the environment conscious problem using the existing concept of AIDA is given below:

1. Awareness
 - a. What is the meaning of Environment?
 - i. Immediate surroundings
 - ii. National level
 - iii. Global level
 - b. What causes damage to the environment
 - i. Plastic
 - ii. Pollution
 - iii. Aerosols
 - iv. Cutting of trees
 - c. What is the extent of damage?
 - i. Water pollution
 - ii. Air pollution
 - iii. Tsunami
 - iv. Floods
 - v. Global warming
 - d. Who damages?
 - i. Industries
 - ii. Individuals
 - iii. Developed nations
2. Interest
 - a. Possible actions

- i. Avoid plastics
 - ii. Car pooling
 - iii. Wastage of water, electricity etc
 - b. Why protect
 - i. For present
 - ii. For future
3. Desire
- a. Attitudes and motives towards protecting environment
 - b. Corrective actions- - who can do
 - i. Industry
 - ii. Individual
 - iii. Government
 - iv. Non-governmental organizations
4. Action
- a. What are you doing?
 - i. Avoid plastics
 - ii. Car pooling
 - iii. Reducing wastage of water, electricity etc

Case of Online versus Offline MBA education

March 2020 saw the beginning of online mode of education for residential and non-residential MBA programmes. While online education has been there for several year, the pandemic necessitated all educational institutions to opt for online teaching mode for the two-year MBA programmes. Ever since there has been a considerable debate whether an institute can grant the same two-year MBA programme degree by having online and offline sections simultaneously.

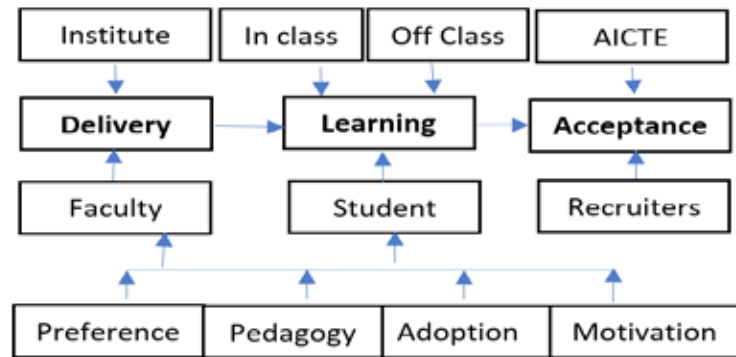
Decision Area

- Can the institute parallelly have online and offline sections for the two-year MBA programmes

Conceptualization

- Would the “delivery, learning and acceptance (DLA)” be the same if an institute parallelly runs online and offline sections for the same programme. The conceptual model is given in figure 3.5.

Figure 3.5 DLA framework



Based on the conceptual model, the following information needs can be identified.

- Institute
 - o Facilitates
 - o Resources
 - o Culture
 - o Image
- Faculty
 - o Comfort
 - o Preference
 - o Willingness
 - § Full time faculty (FTF)
 - § Visiting Faculty (VF)
 - o Differences in pedagogy
 - o Differences in courses
 - o Adaptability
 - o Motivation
 - o Evaluation
- Students
 - o Connectivity
 - o Comfort
 - o Preference
 - o Motivation
 - o In class versus off class learning
 - o Group work/ projects/ assignments

- Faculty student interaction
 - o Interaction
 - § In class
 - § Off class
 - o Feedback
- Recruiters
 - o Perceptions by type of industry
- AICTE
 - o Degree granting

Once the information needs are generated, then the research design needs to be identified. This would be discussed in unit 4.

Activity 2

Describe the steps for converting the decision areas that were identified in Activity 1 into research objectives.

3.5 SUMMARY

The probability of gathering the data needed to address the research problem increases if the problem can be properly identified. The problem definition phase is essential to the success of the research process since “a problem well defined is a problem half-solved.” In this unit, we discussed the decision area, the research problem, and converting a decision area to research objectives with the help of illustrative case examples. Three methods of converting a decision problem into a research problem area—the interaction method, the decision tree approach, and the conceptualization method—were also explained with relevant case examples.

3.6 KEY WORDS

Conceptualization: Conceptualization is a process where an issue is understood by breaking down the concept into variables such that the relationship between them is identified.

Decision Tree Approach: A decision tree is defined as a model where the extracted information is sorted hierarchically by the use of connected nodes.

Interactive Method: The interactive approach should be used if a decision maker is unable to state the problem clearly.

3.7 SELF-ASSESSMENT QUESTIONS

1. Differentiate between a decision area and a research problem.
2. What are the methods of converting a decision area to a research problem?
3. Describe a research brief and how should it be converted into a research problem?

3.8 PROJECT QUESTION

The problem with plastic is that most of it isn't biodegradable. It doesn't rot, like paper or food, so instead it can hang around in the environment for hundreds of years. Each year, 400 million tonnes of plastic is produced and 40% of that is single-use - plastic we'll only use once before it's binned, causing environmental damage. Correcting the plastic waste problem requires a fundamental change in thinking about how they are used and discarded.

Suggest a Decision Area linked to Plastic use and discarding. Convert this Decision Area to a Research problem. Research problem should identify the information required to address the decision area.

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